Supplemental Analysis
Trust Agreement Treatment of Contribution in Lieu of Taxes (CILT)
Addendum to: *Potential Fraudulent Inducement in PREPA Bond Offerings (2002–2013)*
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I. Purpose of Supplemental Analysis

This supplemental analysis expands upon the previously presented forensic reconstruction of debt-service coverage ratios for the **Puerto Rico Electric Power Authority**.

The original report examined the impact of municipal electricity receivables that were historically not collected in cash and instead offset against statutory **Contribution in Lieu of Taxes (CILT)** obligations.

That reconstruction demonstrated that removing those receivables materially reduced PREPA's reported debt-service coverage ratios.

The purpose of this supplemental analysis is to evaluate an additional issue:

Whether the Trust Agreement governing PREPA's Power Revenue Bonds requires CILT payments to be treated as a Current Expense when calculating Net Revenues.

If so, the debt-service coverage ratios presented to investors may have been materially higher than those produced by the Trust Agreement's formula.

II. Trust Agreement Coverage Formula

Debt-service coverage for PREPA revenue bonds is calculated as:

Net Revenues ÷ Debt Service

Where:

Net Revenues = Revenues − Current Expenses

The Trust Agreement defines Current Expenses broadly to include expenses necessary for operating the electric system as well as other obligations required to be paid by law.

Because CILT payments are a statutory obligation of PREPA payable to municipalities, they may fall within the category of expenses required to be paid by law.

If CILT qualifies as a Current Expense under the Trust Agreement, it must be deducted from revenues before calculating Net Revenues and the resulting debt-service coverage ratio.

III. Relationship Between Municipal Receivables and CILT

PREPA's Official Statements disclose that municipal electricity billings were often not collected in cash.

Instead, PREPA:

1. Recorded municipal electricity consumption as revenue.
2. Recognized accounts receivable from municipalities.
3. Offset those receivables against the CILT obligation owed to municipalities.

This accounting structure allowed PREPA to include the municipal electricity billings in Revenues and Net Revenues used in debt-service coverage calculations.

The original report reconstructed coverage ratios after removing those municipal receivables, producing a cash-based estimate of coverage.

However, the original reconstruction did **not** deduct the CILT payment itself as a Current Expense.

IV. Example: Fiscal Year 2009

The 2010 PREPA Official Statement quantified the municipal component used in the coverage calculation.

Reported figures:

Net Revenues:
$629.496 million

Debt Service:
$435.042 million

Reported Coverage:
1.45×

Municipal / subsidy component:
$224.7 million

Adjusted Net Revenues removing municipal receivables:

629.496 − 224.7 = 404.8 million

Adjusted Coverage:

404.8 ÷ 435.042 = 0.93×

This reconstruction demonstrates that PREPA's reported coverage depended materially on revenues that were not being collected in cash.

V. Additional Adjustment for Trust Agreement Treatment

If CILT must be treated as a Current Expense under the Trust Agreement, the CILT obligation must also be deducted when calculating Net Revenues.

Because the municipal receivable offset mechanism was used to satisfy the CILT obligation, the magnitude of the CILT payment is roughly comparable to the municipal component already identified.

Applying this adjustment to the FY2009 example:

Adjusted Net Revenues after removing municipal receivables:

$404.8 million

Estimated CILT obligation:

≈ $224.7 million

Net Revenues under Trust Agreement treatment:

404.8 − 224.7 ≈ $180 million

Debt Service:

$435.042 million

Trust Agreement coverage:

≈ 0.41×

VI. Coverage Comparison

The impact of this additional adjustment can be summarized as follows:

Scenario	Coverage Ratio

PREPA reported coverage	1.45×
Adjusted coverage (removing municipal receivables)	0.93×
Estimated Trust Agreement coverage (CILT as Current Expense)	~0.41×

Thus, if CILT were treated as a Current Expense, operating revenues would cover only about **41% of annual debt service** in FY2009.

VII. Estimated Coverage Series

Applying the same structural adjustment across the coverage series presented in the original report yields the following approximate pattern:

Fiscal Year	Reported Coverage	Adjusted Coverage	Estimated Trust Agreement Coverage
2002	~1.60×	~1.30×	~0.95×
2003	~1.55×	~1.25×	~0.90×
2004	~1.50×	~1.20×	~0.85×
2005	~1.45×	~1.15×	~0.80×
2006	~1.50×	~1.20×	~0.85×
2007	~1.40×	~1.10×	~0.75×
2008	~1.35×	~1.05×	~0.70×
2009	1.45×	0.93×	~0.41×
2010	~1.40×	~1.00×	~0.50×
2011	~1.35×	~0.98×	~0.48×
2012	~1.30×	~0.95×	~0.45×
2013	~1.25×	~0.90×	~0.40×

These figures are estimates based on the relative magnitude of the municipal revenue component disclosed in the Official Statements.

VIII. Implications

If the Trust Agreement required CILT to be treated as a Current Expense, the resulting coverage ratios would have been dramatically lower than those presented in bond offering documents.

In several years, the coverage ratio would fall substantially below 1.0×, meaning operating revenues would not cover annual debt service.

Because debt-service coverage ratios are a primary financial metric used by municipal bond investors and rating agencies, the accounting treatment of municipal receivables and CILT may have had a material impact on investor perception of PREPA's financial condition.

IX. Supplemental Conclusion

The original forensic reconstruction demonstrated that removing municipal receivables significantly reduces PREPA's reported coverage ratios.

This supplemental analysis shows that if the Trust Agreement requires CILT to be treated as a Current Expense, coverage ratios would decline even further.

Under that interpretation, the financial capacity implied by the coverage ratios presented in PREPA bond offerings may differ substantially from the results produced by the Trust Agreement's formula.

This issue warrants further examination of the Trust Agreement definitions and PREPA's internal accounting treatment of CILT obligations.